

Where Corporate Distress Is *Really* Concentrated

A plain-English read on 220,000+ UK company insolvency records — where financial distress is rising, where it’s easing, and what simple monitoring can and can’t predict about it.

220,650

Company insolvency records analysed, Great Britain, Jan 2016–Aug 2026

22,960

Insolvencies in the 12 months to Aug 2026 — down 3.9% on the year before

3.56

Forecast error (MAE) of the simplest model — it beat every machine-learning model tested

Executive summary

Distress is easing overall — but it's not easing evenly

Company insolvencies in Great Britain remain historically elevated, but the latest 12-month trend is now pointing down. The more useful story for a business audience isn't the national number — it's that risk is moving in sharply different directions depending on which industry, and which measure, you look at.

This report analyses every company insolvency case registered in England, Wales and Scotland between January 2016 and August 2026 — 220,650 records in total — alongside ONS business-population data, to answer three practical questions: **where is financial distress concentrated today, how is it changing, and how reliably can recent patterns forecast the near future?** The full analysis was built end-to-end in SQL and Python; this document translates the findings for a non-technical audience.

-3.9% Change in rolling 12-month insolvencies, England & Wales (23,883 → 22,960)	1,857 Company insolvencies recorded in August 2026 alone	3.3× Rise in residential care insolvency incidence per business, 2019 to 2025 — the sharpest of any industry
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- 1

The headline number is falling, but it's still historically high.

The rolling 12-month total eased from 23,883 to 22,960 cases — a real improvement, but insolvency volume remains well above pre-2020 norms across most industries.
- 2

Raw case counts and true risk tell different stories.

Restaurants top the league table for sheer number of failures, but beverage serving venues (pubs, bars) have the highest failure rate relative to how many such businesses exist — and management consultancy, despite ranking 9th on volume, has the lowest.
- 3

Construction is moving against the wider trend.

While 8 of the 10 highest-volume industries saw insolvencies fall over the past year, building construction (+3.0%) and property development (+4.2%) both rose — a signal worth watching.
- 4

A handful of industries have structurally worsened since 2019.

Residential care, electrical equipment manufacturing and information services all show insolvency incidence roughly double to triple their pre-pandemic reference level.
- 5

Simple forecasting beat every machine-learning model tested.

A basic 12-month historical average out-predicted Ridge Regression, Random Forest and Gradient Boosting on 3-month-ahead industry forecasts — a useful, humbling result for any monitoring build.

Section 1

Where distress sits today

Looking at the most recent full year of data (September 2025–August 2026), a small number of industries account for a disproportionate share of company failures — and most of them are getting better, not worse.

Restaurants and mobile food service remain, by a wide margin, the single largest source of company insolvencies in Britain: 2,082 cases in the last rolling year, roughly double the next-largest category. But volume alone doesn't tell you whether a sector is deteriorating. Of the ten highest-volume industries, eight recorded *fewer* insolvencies than in the previous 12 months — business support services fell 18.2% and building completion & finishing fell 13.1%, both sharp improvements.

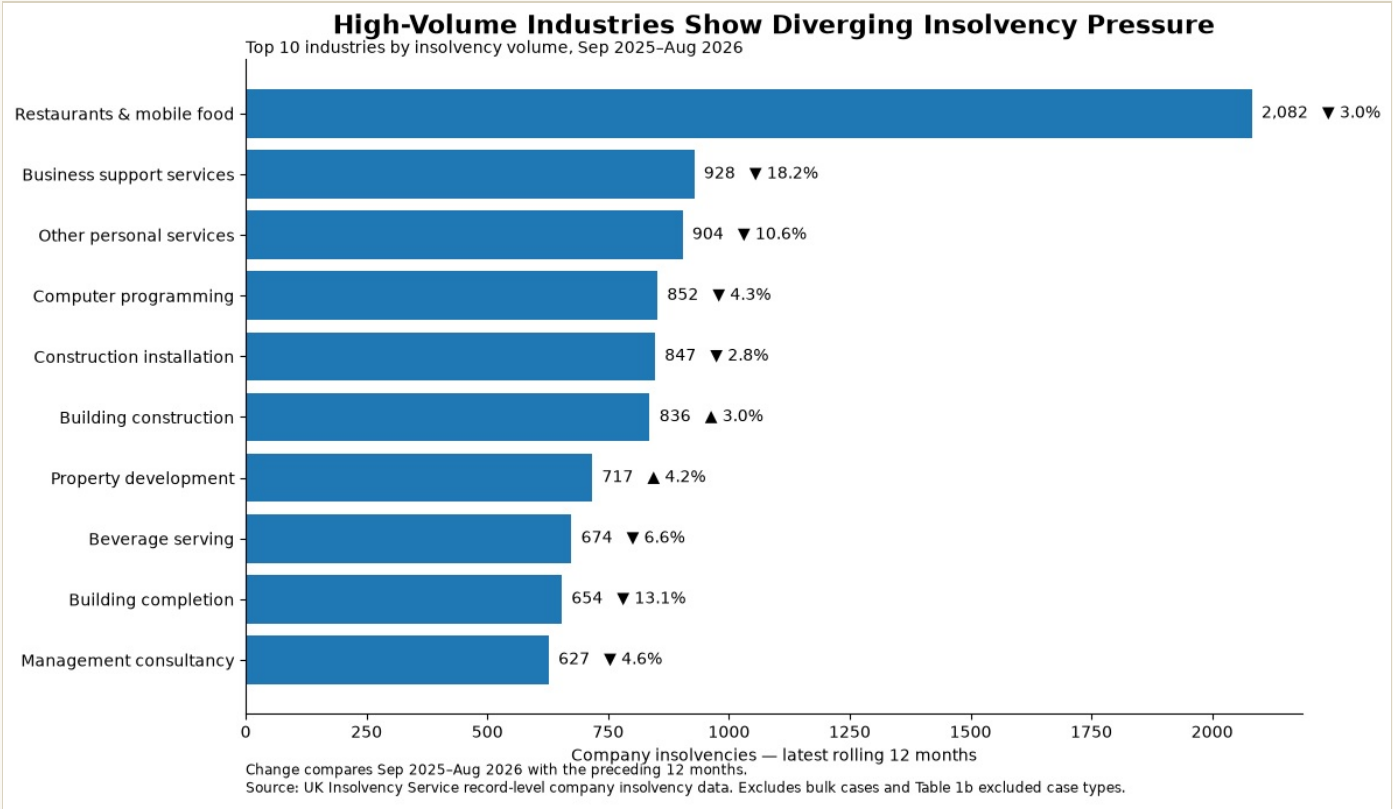


Chart 1. Company insolvencies by industry, rolling 12 months to August 2026, with year-on-year change. Two construction-related industries — building construction and property development — are the only entries in the top 10 moving in the wrong direction.

Why this matters for monitoring: a simple month-to-month count would miss this. It's the year-on-year comparison — not the raw level — that flags building construction and property development as the two industries in this top 10 where distress is actually building, even as the national picture improves.

Section 2

High volume doesn't always mean high risk

Some industries produce a lot of insolvencies simply because they contain a lot of businesses. Adjusting for how many companies actually operate in each industry — insolvencies per 10,000 registered enterprises — changes the ranking substantially.

Comparing 2025's ten highest-volume industries by raw count against the same industries ranked by *population-adjusted incidence* reshuffles the list. Restaurants stay near the top either way — a genuinely high-risk, high-volume category. But beverage serving activities (pubs and bars), only 7th by raw volume, jump to **1st** once adjusted for size: they have the highest insolvency rate of any of these ten industries relative to how many such venues exist. At the other end, management consultancy — 9th by volume — drops to **last** on an adjusted basis, because it is such a large industry that even a sizeable case count represents a comparatively low failure rate.

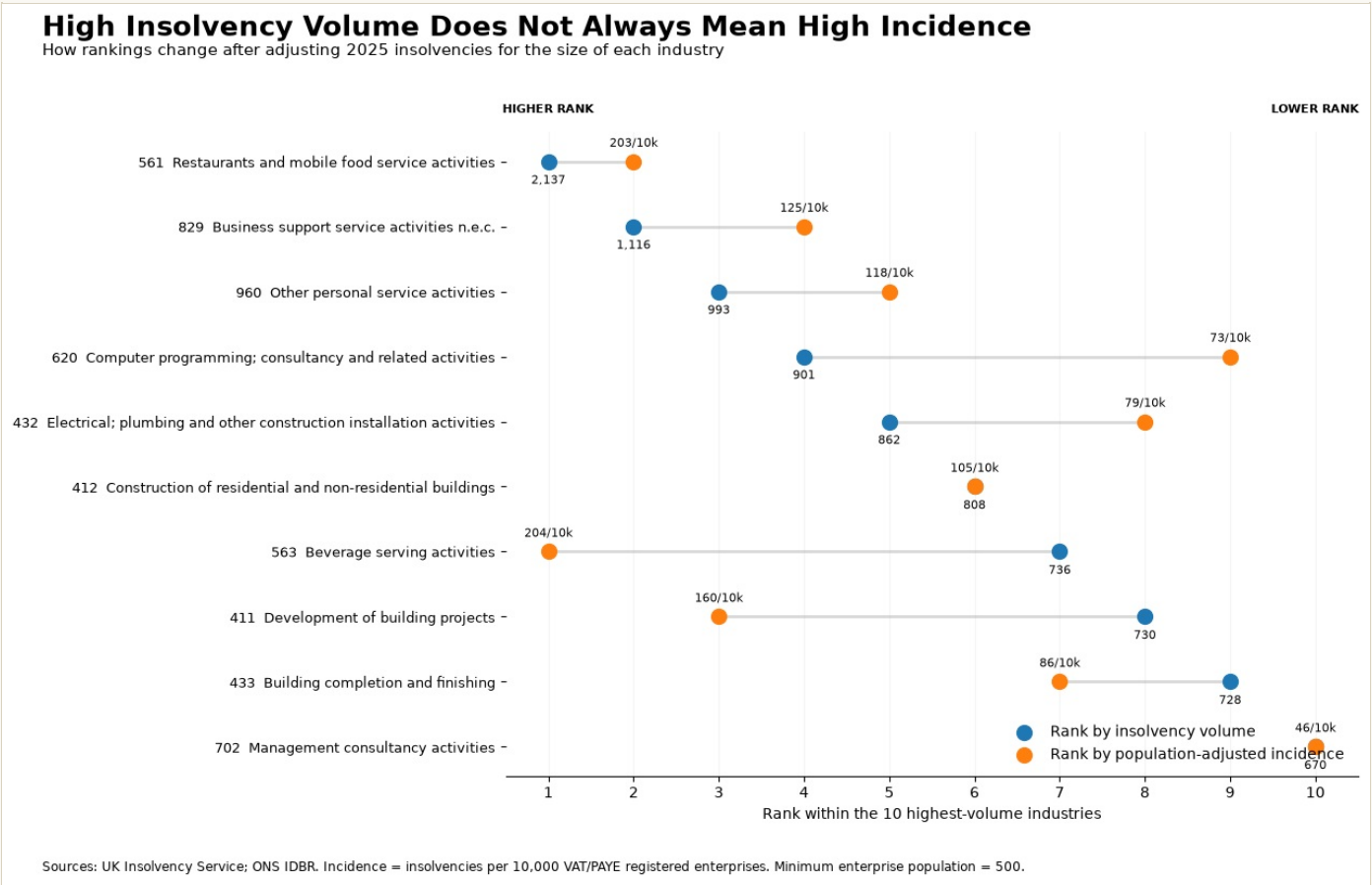


Chart 2. How each industry's rank changes once 2025 insolvency counts are adjusted for the number of enterprises in that industry. A short connecting line means the two views agree; a long one means raw volume is misleading on its own.

The same pattern holds much more dramatically once smaller, more specialised industries are included. A number of niche sub-sectors with only a few hundred businesses nationally post insolvency rates several times higher than any of the headline industries above — they simply don't generate enough absolute cases to show up in a volume-based league table.

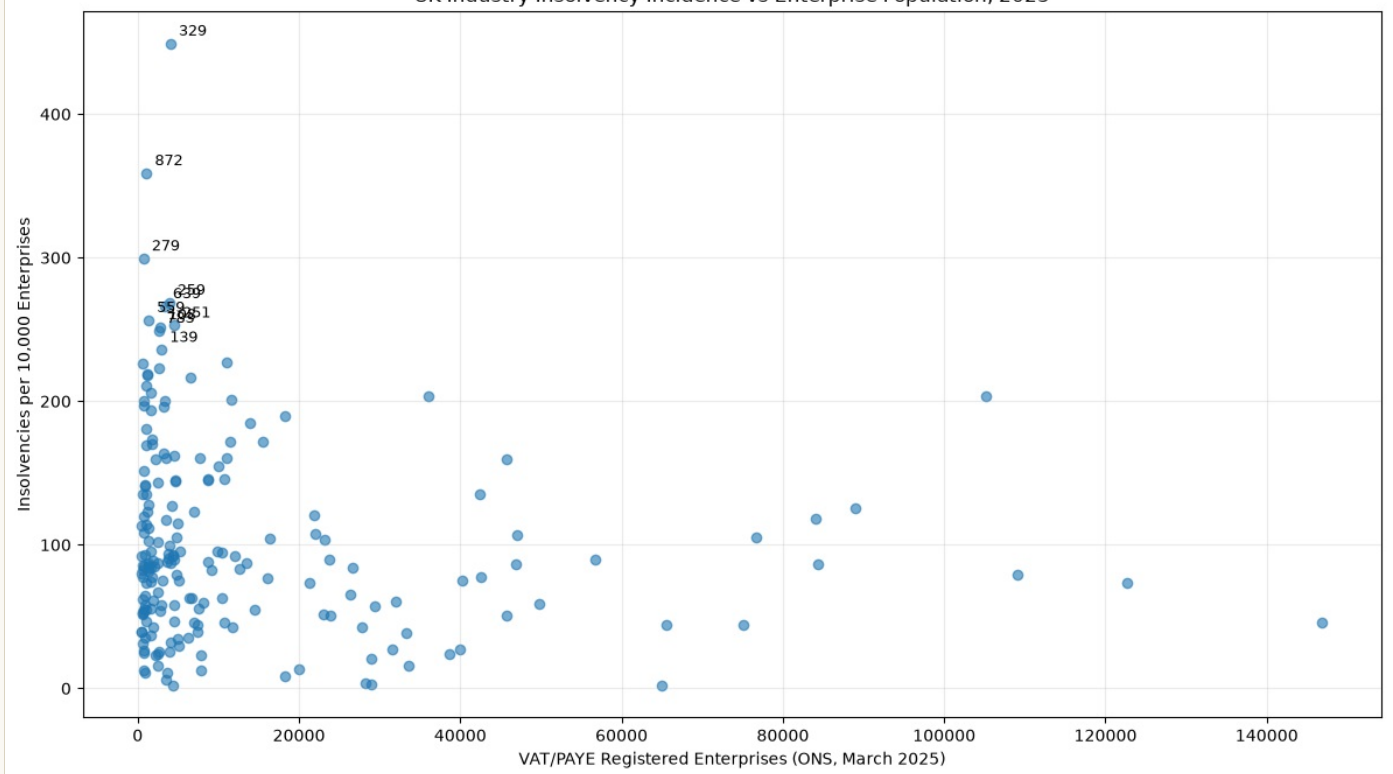


Chart 3. Every UK industry (3-digit SIC code), 2025: insolvencies per 10,000 enterprises against how many enterprises exist in that industry. Small, high-incidence industries cluster in the top-left — invisible to a volume-only view, but genuinely high-risk for anyone operating in them.

Section 3

A few industries have structurally worsened since 2019

Using 2019 as a pre-pandemic reference point, ten industries stand out for the size of their increase in insolvency incidence by 2025 — not a one-year blip, but a sustained upward shift.

Residential care insolvency incidence more than tripled between 2019 and 2025 — from 108 to 359 cases per 10,000 enterprises — the largest sustained increase of any industry in this dataset.

Electrical equipment manufacturing, other information services and other accommodation providers all show a similar pattern: incidence roughly doubled from a 2019 baseline and has stayed elevated through 2025, rather than spiking once and reverting. That persistence is the important signal — it suggests structural pressure on these industries (cost, demand or regulatory) rather than a temporary shock.

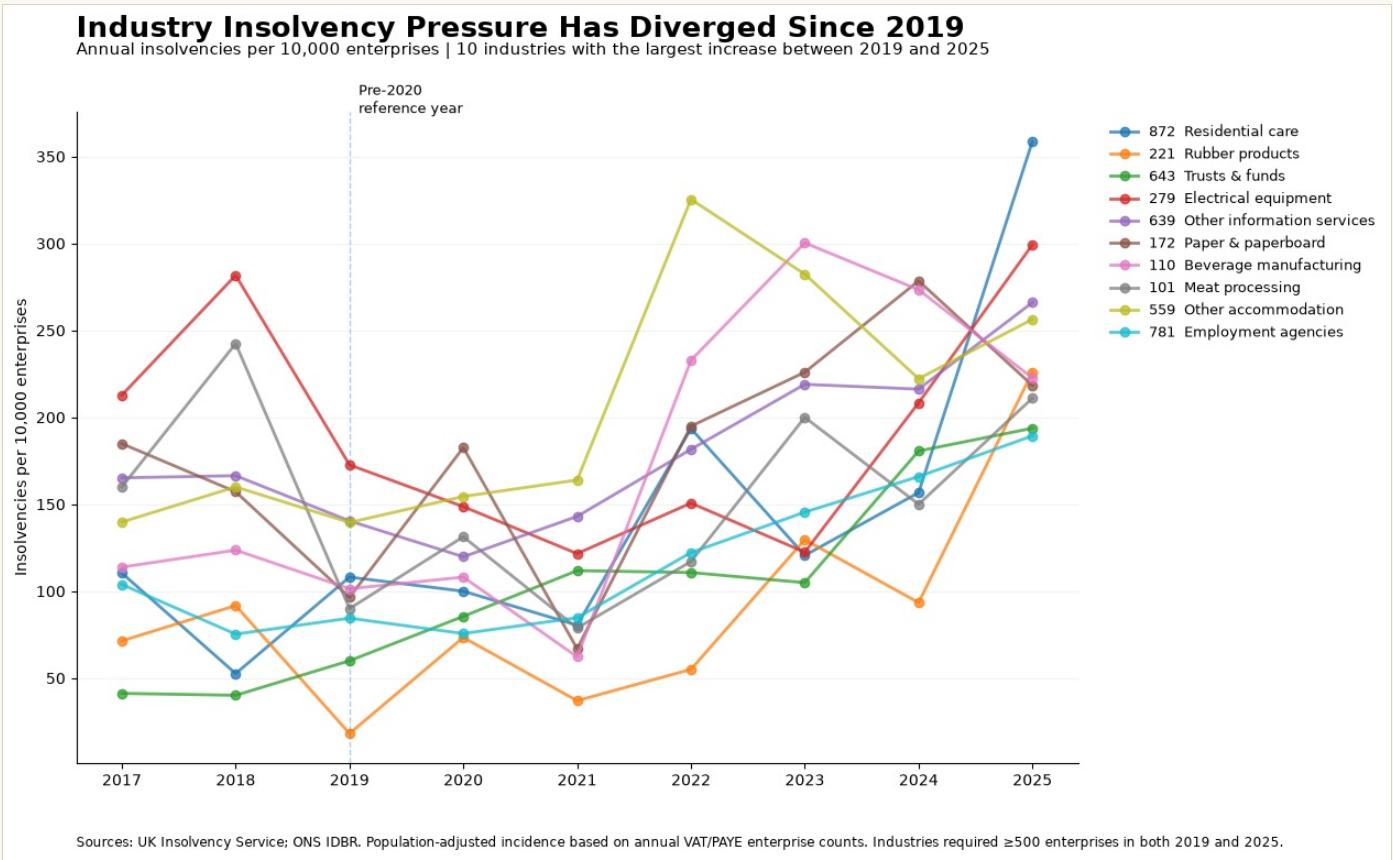
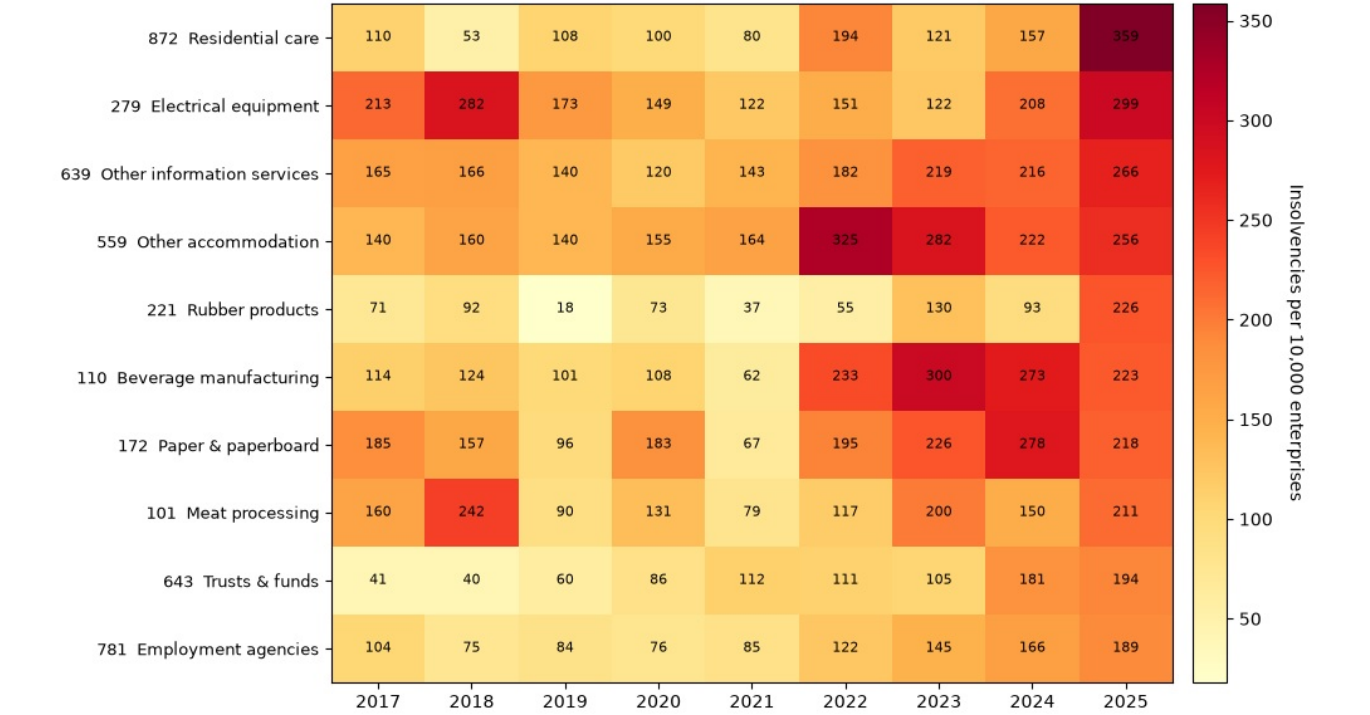


Chart 4. Annual insolvency incidence, 2017–2025, for the ten industries with the largest increase since the 2019 pre-pandemic reference year. Most show a step-change upward around 2021–2022 that has not reversed.

Industry Insolvency Pressure Has Diverged Since 2019

Population-adjusted insolvency incidence, 2017–2025 | Industries with the largest increase from 2019 to 2025



Sources: UK Insolvency Service; ONS IDBR. Values are annual insolvencies per 10,000 VAT/PAYE registered enterprises. Selection requires ≥500 enterprises in both 2019 and 2025.

Chart 5. The same ten industries as a year-by-year heatmap. Darker cells mean a higher insolvency rate that year — useful for spotting exactly when each industry's pressure began building.

Section 4

Simple forecasting was hard to beat

To test whether recent patterns can forecast near-term industry insolvencies, several models were built to predict each industry's total insolvencies over the following three months and evaluated on data the models had never seen.

The benchmark was deliberately simple: assume the next three months look like the historical trailing average. Three more sophisticated approaches — Ridge Regression, Random Forest and Poisson Gradient Boosting — were then tested against it, along with a variant that also incorporated business-population data. None of them improved on the simple benchmark.

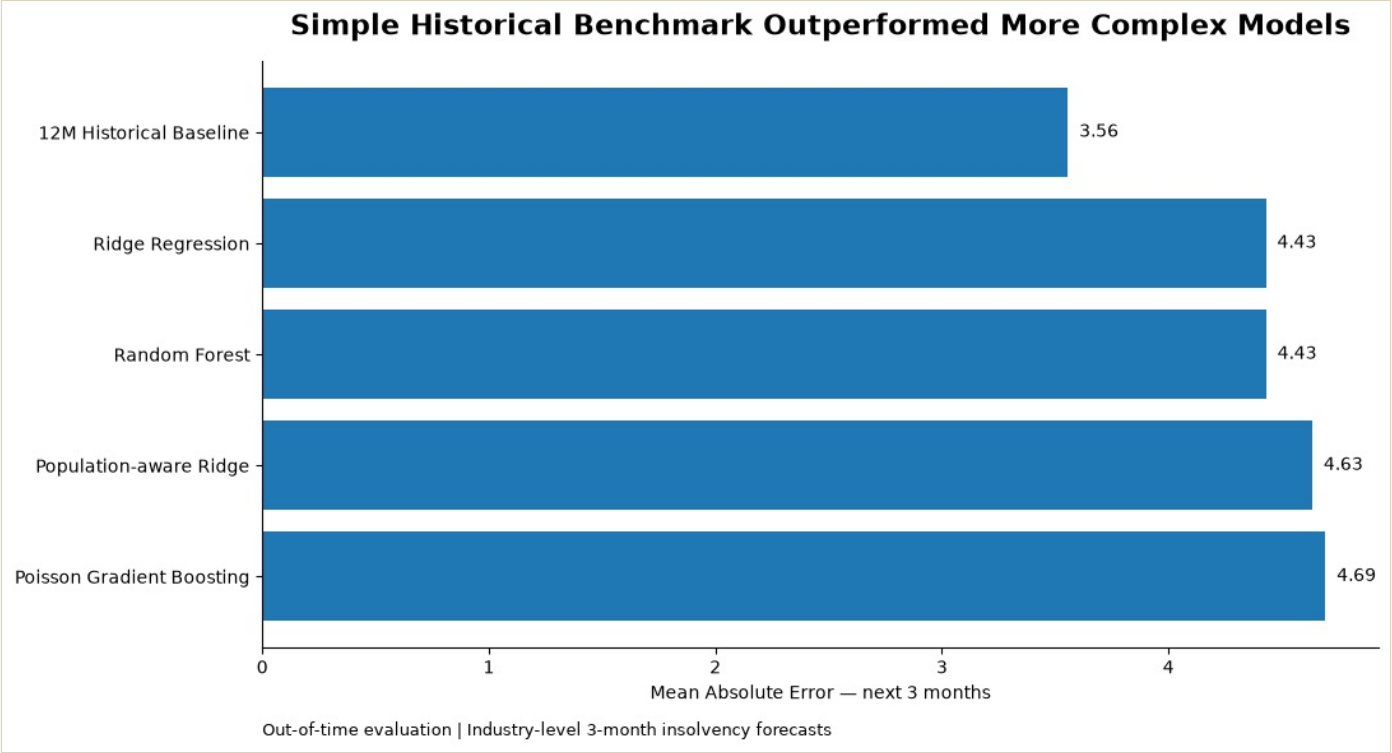


Chart 6. Average forecast error (mean absolute error, 3 months ahead) on held-out test data. Lower is better. The plain historical baseline outperformed every machine-learning model tested.

Why the simple model won: industry-level insolvency counts are fairly stable and slow-moving most of the time, so a trailing average already captures most of the predictable signal. Added model complexity mainly picked up noise rather than genuine pattern — a useful reminder to always benchmark against a simple baseline before reaching for something more complex.

One further test explains a meaningful share of the remaining error. A single sub-industry — *buying and selling of own real estate* (SIC 681) — produced an unusually concentrated spike in its case count that no model anticipated from historical patterns alone. Removing this one sub-industry from the test set improved the benchmark's error by more than 20%, from an MAE of 3.56 down to 3.39. Evaluated on its own, that sub-industry's forecast error was over ten times worse than the rest of the dataset combined, with a negative R² — worse than simply guessing the historical average.

3.56	3.39	48.4
MAE, full test set, simple 12-month baseline	MAE, same benchmark, excluding SIC 681 only	MAE for SIC 681 alone — an unpredictable outlier

The practical takeaway: this kind of model is well suited to steady-state monitoring — flagging industries with elevated or rising distress — but it cannot anticipate sudden, sector-specific shocks driven by one-off events. Those need to be watched separately, not forecast.

Conclusion

What this means for monitoring corporate risk

This project set out to answer a practical question — where is corporate financial stress concentrated, how is it changing, and how reliably can recent patterns inform the near future — using nothing more exotic than SQL, Python and careful benchmarking. The findings argue for a monitoring approach that reports three things side by side, not one: the raw count (scale), the population-adjusted rate (how unusual that scale really is), and the year-on-year direction (whether it's improving or worsening). Any one of these on its own can mislead; together they give a much more honest picture of where the risk actually sits.

On forecasting, the result is a useful piece of humility: added model complexity did not earn its keep here, and a transparent historical baseline was both more accurate and easier for a non-technical stakeholder to trust. The framework's real value is as a surveillance tool for gradual, structural shifts — like the sustained rise in residential care or electrical equipment insolvencies — rather than as a predictor of sudden, sector-specific shocks.

Data & methodology

Analysis covers 220,650 company insolvency records for England, Wales and Scotland, 1 January 2016 – 31 August 2026, published by the UK Insolvency Service, loaded into MySQL and analysed with SQL and Python (pandas, scikit-learn). Records are classified by 3-digit UK Standard Industrial Classification (SIC 2007). Industry business-population figures are from the ONS Inter-Departmental Business Register (VAT/PAYE registered enterprises); because that denominator is UK-wide while the insolvency numerator covers England & Wales, population-adjusted incidence figures should be read as a comparative proxy rather than an exact rate. Bulk insolvency cases and "Administration to CVL" records are excluded from headline counts, following Insolvency Service guidance, to avoid double-counting. Industries are only ranked on population-adjusted incidence where they had at least 500 registered enterprises, to avoid small-sample distortion. Forecast models were evaluated out-of-time on a chronological train/validation/test split, so test-period results reflect genuinely unseen future months.

- **Sources:** UK Insolvency Service, Company Insolvency Statistics, August 2026 release (record-level data); Office for National Statistics, Inter-Departmental Business Register.
- **Tools:** MySQL, Python (pandas, scikit-learn, matplotlib).
- **Full code and SQL queries:** available on GitHub — see profile for repository link.